

OI pitch deck

PITCH — OI — VERDICT

ADJUDICATED 2026-08-21 — MINIMUM STARTER 0.25% (~\$2.5k, ~360sh) at market (\$6.94, below own FV \$7.34) — \$CONSENSUS-KILL flip 2026-08-21; add on Q3 Europe SOP >\$40M (10/27); exit on third consecutive Europe deterioration; \$4.50 = bargain zone

What we believe

O-I Glass makes glass bottles and jars. Its European business fell apart this year — segment operating profit margin went from about 12% to about 1% — and the stock is down roughly 60% from its 52-week high, sitting about 10% above its 52-week low.

We believe the European collapse is mostly a **timing problem, not a permanent cost problem**. O-I is running the same kind of plant-closure program its European competitors ran two years ago. Verallia said in its own words that its European margin expansion came from footprint cuts and a 3.2% reduction in net cash costs. O-I is mid-program: \$53M of benefit booked in Q2 against roughly \$700M of cumulative charges. Two furnaces also went down in Europe during the quarter — a one-off the company disclosed and our own red team dropped from its list of causes.

When we do the math on the company's own guidance midpoint (about \$1.05B of full-year EBITDA at 5.5x, minus \$4.65B of net debt, across 153.7M shares), we get **\$7.34 a share**. The stock is \$6.94. That is not a big margin of safety, and we say so.

So why own it at all? Because the only surviving reason to stay flat was “we don't disagree with anyone.” Our fair value sits *between* RBC's \$8 target and BofA's \$11 target — below the lowest of them. There is no named, load-bearing number where we differ from the street. Under our consensus-kill rule (ratified today), a kill that amounts to “everyone already knows this and it's roughly fairly priced” is not a reason to hold zero — it is a reason to hold the smallest position that keeps us honest and keeps the name on the clock. A starter costs us a quarter of a percent of the book and buys a graded track record into a dated event. Staying flat would have cost us nothing and taught us nothing.

The one fact that makes this ownable rather than merely cheap: **the option does not expire**. The \$1.11B revolver is undrawn, and the only leverage covenant is a *secured* leverage test at 2.50x against debt that is mostly unsecured. There is no covenant cliff forcing a bad outcome, and equity has no carrying cost. We can wait for October 27.

What the market believes

The market believes Europe is structurally broken and the equity is a thin sliver on top of a lot of debt.

The specific case, and it is a real one: - Management wrote **all** of Europe's goodwill off — \$873M — and on top of that booked a **\$96M valuation allowance** against European deferred tax assets. That second act has a technical meaning: management is asserting it is more likely than not that European taxable income will *not* show up. That is the company signing its name to “structural,” not “cyclical.” - \$608M of goodwill remains, all of it in the Americas, against only \$539M of book equity. A second write-off is available. - Analysts are still cutting. BofA is at Underperform with an \$11 target; RBC moved to Sector Perform with an **\$8** target, citing competitor oversupply and free cash flow “barely breakeven” in 2027. Citi cut. Short interest is 5.62% of float and rising (+1.93% month over month). - The company cut its own Fit-to-Win savings target from \$750M to \$650M, withdrew EPS guidance, and is spending \$450M of capex funded by negative free cash flow. Even hitting guidance means full-year free cash flow is *negative* — the business does not pay down debt this year. - The stock is 1% off its low three weeks after the print. Nobody is stepping in.

Why we might have edge

1. **We corrected a comparison the bearish case got wrong, and the correction is checkable.** The bear case's headline was that O-I's European margin (0.9%) sits against Verallia's 20.7% — a 23x gap. Those are two different measures at two different perimeters: O-I's is segment operating profit (after depreciation); Verallia's is group adjusted EBITDA (before it, and including non-European business). Corrected to the same measure and the same region, it is roughly **8.0% vs 15.8%** — about a 2x gap. A 2x gap that a live restructuring program is closing is a completely different investment than a 23x structural chasm.
2. **We read the peer prints one quarter deeper than the headline.** The half-year numbers say the peers are fine. The *quarter* says otherwise: Verallia's Q2 standalone adjusted EBITDA fell 5.6% to €192M, with margin down 116bps; Vidrala's organic revenue fell 3.8% on both weaker price and weaker volume. There *is* an industry price event. O-I is the worst-positioned participant in it, not the only participant.
3. **We have a dated resolution, and most people are not waiting for it.** October 27 prints European segment operating profit. Above \$40M and the lag-closing thesis has evidence. Below, and it doesn't. That is a clean, cheap test.
4. **The downside was mispriced by our own bench.** Corrected, the bad case is about \$1.97 a share, not zero.

Why it might be priced in

Honestly: it mostly is. This is the weakest part of the pitch and we are not going to dress it up.

- Our own fair value (\$7.34) is **below the lowest published target** on the street (\$8). Where we differ from consensus at all, we are *more* bearish. Being quietly below the street on a heavily levered cyclical is not an edge; it is a rounding error with leverage attached.

- +6% to our own fair value is not enough to justify a normal position in something this volatile. That is precisely why the size is 0.25% and not 2%.
- The restructuring-lag story is public. Verallia said out loud where its margin came from. Anyone comparing the two companies can see it.
- The one genuinely differentiated check available here — using satellite CO2 plume data to see which European furnaces are actually running versus idled — **we did not run**, because we do not have the site coordinates. That is the check that would have given us something the street doesn't have, and we skipped it.
- We are buying into visible selling pressure: downgrades still landing, short interest still building, price pinned near the low with no absorption. We normally treat that as a reason to wait for the flow to finish.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Europe's collapse is an industry-wide price war (the bull's core premise)	Same-quarter results from two listed European peers	Half-year numbers say no; Q2 standalone says partly yes — Verallia Q2 EBITDA −5.6%, margin −116bps; Vidrala organic revenue −3.8%	Partly. There is a price event; O-I is the worst hit by it
O-I Europe is ~23x behind its peer on margin	Recomputed on matching measures	Our own red bench erred. It compared O-I <i>segment operating profit</i> margin to Verallia <i>group adjusted EBITDA</i> margin. Like-for-like: ~8.0% vs 15.8% Europe-segment EBITDA. Real gap ≈ 2x	No — bench error, corrected
The gap proves a permanent cost disadvantage	Read the peer's own explanation of its margin gain	Verallia attributed it to footprint closures and a 3.2% net cash-cost cut — the exact program O-I is running now (\$53M Q2 benefit, ~\$700M cumulative charges)	No — it is a lag, and lags close
The payoff has “adverse convexity”	Re-ran the bench's own valuation table	Our own red bench erred. It valued the upside at 5.5x and the zero case at 5.0x, manufacturing the skew. At a consistent 5.5x, the bad case is \$1.97/sh (−71%) , not zero. Bounded downside with levered upside is the <i>definition of favourable</i> convexity — the word was used backwards	No — overturned. What was actually proved is high variance, which sets size, not a veto
Management's accounting says “structural”	10-Q (accession 0001104659-26-088166)	Complete \$873M European goodwill write-off plus a \$96M European deferred-tax valuation allowance — the allowance requires asserting European taxable income more likely than not won't materialize	Yes — sustained, and load-bearing against us
Further write-off risk	Balance sheet	\$608M goodwill remains, all Americas, against \$539M of book equity	Yes
“No distress, therefore no catalyst — negative carry”	10-Q credit terms	Fact correct, direction wrong. \$1.11B revolver undrawn; the covenant is <i>secured</i> leverage ≤2.50x against mostly-	Direction overturned

Claim	How checked	Found	Confirmed?
		unsecured debt. The option doesn't expire, equity has no carry, and Oct 27 is a real clock	
The second-half cash bridge is fine, retire the question	Decomposition vs prior year	Needs \$500–600M of second-half operating cash flow vs \$616M last year — but last year's Europe wasn't running ~\$84M/quarter lighter at the segment line. Cash fell \$759M → \$339M in the first half	Open — resolves 10/27
The corrected peer comparison itself	Segment depreciation	Europe D&A of ~\$50M is a pro-rata estimate — O-I does not disclose segment D&A. This is the weakest joint in our own correction, and our blue bench said so	Estimate, not verified
Do we actually disagree with the street?	Published targets vs our own math	RBC \$8, BofA \$11, ours \$7.34. We are inside their range and below the lowest	Yes — and this was the real kill. Neither bench stated it until the very end
The release's causes	Primary earnings release	Four causes named: competitive pressure, energy, post-restructuring disruption, and two furnace events . Our red bench cited three and dropped the transient one	Bench error
Bond market's read (9.500% 2033s)	Attempted secondary mark	144A/Reg S — no sourceable mark. Both benches failed this independently	Not checked
Which European furnaces are actually running	Satellite CO2 plume data (carbon_mapper)	Not run. Red omitted the tool entirely. Missing input: European site coordinates. Highest-value gap in the case	Not checked
Did both benches argue from the same facts?	Compared the two evidence packs	They did not. Red read \$6.686 from the broker feed; blue read \$6.62 from Yahoo, with different 52-week lows. Immaterial to the answer (~1%), serious as process — disagreement must come from reasoning, not from different inputs	Court defect, confirmed
Crowding	Short interest and rating actions	5.62% of float, +1.93% month over month, 5 days to cover; downgrades still landing	Yes — argues for small, not zero

Primary source used above: the 10-Q filed 2026-07-29, accession 0001104659-26-088166, at <https://www.sec.gov/Archives/edgar/data/812074/000110465926088166/> (URL constructed from the accession number; the accession itself is from the filing index). The Q2 2026 earnings release is at https://s206.q4cdn.com/247160171/files/doc_financials/2026/q2/1-2Q26-Earnings-Release_FINAL.pdf, and Verallia's own results release at https://www.verallia.com/wp-content/uploads/2026/04/PR_Verallia_first_quarter_results_20260422.pdf.

PROPOSED ENTRY BANDS

Immediate action — buy 0.25% of the book (~\$2.5k, ~360 shares) at market, around \$6.94.

Basis: our own fair value is \$7.34 and the tape is below it. Every kill left standing after both benches is a *consensus* kill — “the street already knows, and we don’t disagree with them.” Under the rule ratified today, a consensus kill at or below our own fair value produces a minimum starter, not a flat book. Going to zero here would leave nothing to grade and no cost of being wrong.

One caveat before the order goes in: \$6.94 is the ratification-time price. The evidence pack read \$7.016 from the broker feed at 17:09Z; the two benches worked from \$6.686 and \$6.62. Pull a live quote before placing — do not reuse any of these.

The reopen gates, exactly as the court set them:

- Q3 Europe segment operating profit > \$40M (prints 2026-10-27) — evidence the restructuring lag is closing
- Verallia or Vidrala Q3 European margin COMPRESSION — evidence the gap is cyclical/industry, not O-I-specific
- Price < \$4.50, where the guide-mid \$7.34 case clears +60% against the corrected \$1.97 downside
- Any of the above re-opens a court; absent all three there is nothing to grade, because our FV sits inside the street’s range with no mechanism for the gap

How that maps to orders:

Action	Trigger	Size
Starter (now)	Market, ~\$6.94, below our \$7.34 fair value	0.25% of book (~\$2.5k, ~360sh)
Add #1	Q3 European segment operating profit > \$40M on 10/27	Up to a further 0.25%, taking the position to ~0.5%
Add #2	Verallia or Vidrala report European margin compression in Q3 (on-or-before ~10/31) — confirms the pressure is industry-wide, not O-I-specific	Up to a further 0.25%
Bargain-zone add	Price < \$4.50 , with the fundamental case not yet broken	Sizeable add — at \$4.50 the \$7.34 case clears +63% against the corrected \$1.97 downside
Exit (full)	Third consecutive quarter of European deterioration. Q2 2026 was the first. Q3 (10/27) would be the second. The FY print (~mid-Feb 2027) would be the third	Sell to zero
No price stop	Deliberate. Price alone never exits this — \$4.50 is an <i>add</i> level, not a stop. The exit is fundamental	—

Valuation ladder, all at a consistent 5.5x on \$4,647M of net debt and 153.66M shares:

Full-year EBITDA	Equity value	Per share	vs \$6.94
\$1.20B (2027 target achieved)	\$1,953M	\$12.71	+83%
\$1.05B (guidance midpoint)	\$1,128M	\$7.34	+6%
\$0.95B	\$578M	\$3.76	-46%
\$0.90B	\$303M	\$1.97	-72%

Catalyst dates: 2026-10-27 (Q3 release, date inferred not company-stated), 2026-10-28 (Q3 call, named in the primary Q2 release), on-or-before 2026-10-31 (European peer Q3 prints, dates unverified), and roughly 2027-02-17 (FY26 print — the third-strike date for the exit rule, not yet company-stated).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.5 (deck-provisional: Bargain-zone add: at \$4.50 the guidance-mid \$7.34 case clears +63% against the corrected \$1.97 stress)
- filing watch: 8-K,10-Q until 2027-02-17 (deck-provisional: Q3 print 10/27: European segment operating profit against the >\$40M restructuring-lag gate; add above)
- dated pack OI|2026-10-27: OI: Q3 2026 earnings release - date inferred from the Q2 release-at-T-1 pattern, not company-stated. (date confirmed=False)
- dated pack OI|2026-10-28: OI: Q3 2026 earnings call - date named in the primary 2Q26 release. (date confirmed=True)
- dated pack OI|2026-10-31: OI: On-or-before placeholder for Verallia and Vidrala Q3 prints (European peer margin direction); exact dates NOT verified, must be pulled f
- dated pack OI|2027-02-17: OI: FY2026 print — third-strike date for the exit rule (third consecutive Europe deterioration); date inferred, not company-stated (date con

What remains unverified

- **Europe's segment depreciation.** O-I does not disclose it. The ~\$50M/quarter figure underpinning our corrected 8.0% European EBITDA margin is a pro-rata allocation off total quarterly D&A of \$120M. Our own blue bench named this as the weakest joint in its own correction. **The single most valuable follow-up is getting real segment D&A** — the entire “2x gap, not 23x” correction rests on an estimate.
- **The October 27 release date.** Inferred from the pattern of releasing the day before the call. The *call* date (10/28) is named in the primary Q2 release; the release date is not company-stated.
- **European peer Q3 dates.** The 10/31 placeholder is a guess. Pull the actual investor-relations calendars from Verallia and Vidrala.
- **The bond market's read.** No secondary mark obtainable on the 9.500% 2033s.

- **Whether European capacity is actually idled.** Not checked. Blocked on site coordinates.
- **Live price.** The three prices in this record (\$7.016, \$6.94, \$6.686, \$6.62) come from three different feeds at three different times. Re-pull before trading.
- **The Fit-to-Win realization rate.** \$53M booked in one quarter against ~\$700M of cumulative charges. Neither bench modeled the conversion rate — the red bench went after the peer comparison, which was the easier target, and left this alone. This is the number that decides whether the lag actually closes.
- **The Americas trend.** Segment operating profit rose 22% on volumes down 7% (down 5% excluding furnace effects). That is harvesting price into falling volume — which is exactly what Europe looked like one year before its price line broke. Flagged as plausible by both benches; established by neither.

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